

ITMO Regulations to Ratchet up Ambition

Adrien Fabre^{*†}

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Abstract

The international climate policy regime is insufficient to achieve the Paris Agreement temperature target. Although Internationally Transferred Mitigation Outcomes (ITMOs) aim to make mitigation more efficient, their unfettered use could weaken the domestic ambition of countries buying them and insufficiently compensate seller countries. To bolster ambition and align Nationally Determined Contributions (NDCs) with the Paris target, this paper proposes that a coalition of willing countries commit to additional rules governing ITMO use and NDC definition. Basic rules include the harmonization of NDC targets using a comparable metric and requiring that no ITMO be purchased from a country missing its NDC. Then, additional rules with increasing degrees of ambition are described. First, restrictions based on national assessments are discussed, in which coalition members commit not to buy ITMOs from countries with unambitious NDCs. Next, it is argued that NDCs should be assessed for the coalition as a whole rather than country-by-country. Participating countries would cooperate in determining their NDCs to ensure joint alignment with the Paris target and commit not to exchange ITMOs with countries outside the coalition. The article concludes that combining a tightly regulated ITMO coalition with ambitiously expanded Just Energy Transition Partnerships offers a viable pathway for effective international decarbonization.

Keywords: Climate policy; carbon price; ITMOs; carbon trading.

JEL: Q56; F38; H23; Q54; H87; F64; Q58; F53; F35.

^{*}CNRS, CIRED, Global Redistribution Advocates. E-mail: adrien.fabre@cnrs.fr.

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